

Strategic Plan for Sustainable Growth at Airbnb, Inc.

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Executive Summary

Airbnb has rapidly grown since 2008 and has become a global leader in the accommodation industry. This report has been on the Airbnb business model and strategic situation. It has considered macro (PESTEL) and micro-environment, stakeholder and ethical issues, the performance of the financial management, and strategic alternatives to sustainable growth. The major findings are: (1) Business model and problem - The two-sided platform done by Airbnb exploits network effect by matching hosts and guests. Nevertheless, the company has strategic pressures: government crackdown on short-term rentals, and housing affordability in communities. (2) External forces (Short-Term Rentals (STRs) licensing, taxation, zoning) and social backlash are massive threats (Airbnb, 2025). Good economic trends that are predictable and negative are the post-pandemic travel recovery and technology (AI-enabled features and experiences). (3) Internal capabilities - the company possesses such strengths as a strong brand and worldwide provision of listings (now about 7M), which are lucrative (e.g., Q2 2025 income 3.1B). The main weaknesses include high vulnerability to regulatory risk and reputational risk (that is, the development of diversity, safety, and housing impact). (4) Financial performance- Airbnb has recovered its revenues and profits well after the Covid-19 struggle has settled (2023 revenue = \$9.9B, Q4 2023 revenue +17%YoY). The firms have improved their strategies through their strong margins and cash flow cuts, enabling them to reinvest and have stock buybacks. (5) Leadership and ethics - Airbnb is concerned with such issues as non-discrimination and data privacy. The company supports the local communities in the form of anti-bias policies (Project Lighthouse) and cooperation with NGOs. Such participative leadership by CEO Chesky is a trust-based culture and global collaboration (e.g., remote work policies). (6) Strategic options - It is possible to develop the company by expanding into the market. The company has ventured into geographies and segments that were under-penetrated. In addition, proactive regulatory collaboration with the government by collaborating on equitable STR regulations within the 80% of the top markets in Airbnb has facilitated growth. Also, the development of the firm is facilitated by community projects like sustainable tourism programs, housing funds, and the involvement of the local population. All these recommendations constitute the equilibrium between the growth and the strengths of the Airbnb platform as well as its ethical obligations.

Introduction

Airbnb, Inc. is a leading source of disruption within the hospitality sector by initiating the principle of peer-to-peer home-sharing in 2008 in San Francisco. Airbnb created millions of listings worldwide and started its offer by allowing ordinary hosts to accept visitors in their empty rooms. As of 2023, Airbnb claimed to have about 7-8 million active listings and 5+ million hosts around the world (Airbnb, 2025). The company's business model is a two-sided online marketplace: They don't own any real estate but offer a technology platform that packages individual property owners (hosts) and travelers (guests) together, and charge a service fee for transactions. Network effects are central: more listings result in more guests, and vice versa. This model has allowed industries to scale up and produce high gross booking volumes (gross booking value increased from approximately \$30B in 2017 to approximately \$70B by 2025) in a short period.

Strategic issue: The typescript of the current strategic challenge of Airbnb is sustainable growth under external limitations and stakeholder pressure. On the one hand, the financial flows and global presence of Airbnb have increased significantly as global travel started to revive (e.g., 2023 revenue approximately 9.9B, 2023 host earnings 57B). Conversely, the company is faced with a rising opposition of both regulatory and social forces. The response of municipalities around the globe to housing pressures and tourist distractions has been the issuance of restrictions on STR (e.g., limits on how many nights can be rented, requirements that they cannot be principal residences). STRs create a perception among the local Community and policy makers that they contribute to the problem of housing affordability and have a disruptive effect on a neighbourhood. Domestically, Airbnb will also be forced to realign new issues that might emerge, like platform trust, discrimination, and communal impact that will affect its branding and user satisfaction (Ding et al., 2023).

The strategic question, therefore, is how Airbnb can be in a position to keep on expanding its market and revenue and cooperate responsibly with the communities and regulators to reduce negative externalities. That is, how to achieve growth sustainably (with its advantages, even considering the interests of the stakeholders and ethical obligations). The analysis below is a PESTEL and SWOT framework, financial analysis, and analysis of ethics and leadership factors, and offers strategic recommendations that can lead to balanced growth.

Situational Analysis

External Environment (PESTEL)

- *Political/Legal:* Governments are enacting and instituting extremely strict policies towards Airbnb and other STRs. Lots of cities have enacted licensing regimes, occupancy thresholds, or an outright prohibition on non-owner rentals to preserve the housing stock. One of the greatest challenges is therefore compliance with various rules in various localities. Nevertheless, Airbnb has actively been reaching out to regulators; in particular, Airbnb reports that it participated in the development of more than 1,000 regulatory bodies in 80% of key jurisdictions (Airbnb, 2022). The open legal questions are: Zoning enforcement, Taxation (Airbnb now collects and pays tourist taxes in most markets), and Liability (guest/host safety). Further, the political risk of Airbnb is high in a city where the community backlash is great. The firm minimizes this with the help of partnerships, where it promotes compliance (Airbnb, 2018). In Europe, the EU is in the process of harmonizing short-term rental regulations - including mandates for platforms to share

data and for hosts to register - that could materially affect how Airbnb operates (Securities and Exchange Commission, 2022). Airbnb's latest SEC 10-K filing openly admits that these laws "expose our Hosts or us to significant penalties" that can have a materially adverse effect on the business. Politically, Airbnb also has opposition from hotel lobbies and groups of residents calling for more stringent regulation. The company thus has to deal with a patchwork of regulations in thousands of jurisdictions, which results in higher compliance costs and legal risks. On the positive side, some governments are seeing the economic benefits of home-sharing (dispersal of tourism and tax revenue) and are willing to work with home-sharing platforms on fair rules.

- Economic:* The fortunes of Airbnb are closely associated with the macroeconomy and travel demand. Positive dynamics are increasing booming tourism around the globe, and the recent trend of lows during the COVID-19 pandemic. As a matter of fact, in 2023 and early 2025, Nights Booked doubled. The affordability of the home-sharing options compared to hotels can make consumers like the development of Airbnb during times of inflation. On the cost side, Airbnb has high fixed costs of the platform and enjoys scalability: Q2 2025 revenue increased 13% YoY to \$3.1B with strong margins. The company produced strong free cash flow. The flow is strong enough to reinvest in new initiatives and to distribute the capital back to the shareholders. Recessions or travel decline are other economic factors that are viewed as threats to the company. Generally, the economic situation is favorable to the development of the economy, but the factors of uncertainty, such as post-pandemic normalization, have to be observed. Another economic aspect is the housing market dynamics - Airbnb's presence can influence rental supply and prices, an issue that has been widely discussed. Studies have found that lucrative short-term rental markets lure investors to convert long-term housing to vacation rentals, which decreases the availability of housing and possibly increases rents. This intertwining of Airbnb with urban housing economies means that economic policy (e.g., interest rates, housing subsidies) has an indirect impact on Airbnb, too. On balance, the medium-term travel outlook is positive - for example, Airbnb anticipated 4-6% revenue growth in the first quarter of 2025 despite macro uncertainty - yet the company needs to be agile to travel demand and housing trends.
- Social:* Airbnb is in a position to capitalise on the consumer trends because its products and services are more focused on experience and local/authentic travelling. Studies indicate that Airbnb caters to younger and wider groups of consumers who select the service to seek unusual accommodation; furthermore, most of its customers value aspects of a community within the service and indicate that they are attracted to the platform because of its eco-friendliness. On the social front, Airbnb has a similar problem, as some locals are concerned that STRs are turning them into party houses, full of noise and undermining neighborhood character. Discrimination is also talked about all the time, where hosts have been accused in the past of discriminating against race or otherwise. Social pressure is embodied in the policies of Airbnb by the interest of "Community Commitment" against discrimination. Further, more people working from anywhere has led to an increase in demand for longer stays (Chesky notes 20% of nights in late 2021 were for month-plus stays). This shift is beneficial to Airbnb's longer-term rentals segment. However, research has suggested that Airbnb is prone to displacing mid-range hotel stays and taking rental housing out of the market, driving up rents. This has led to

protests in popular destinations (residents in Barcelona and Venice even led anti-tourism marches against the impact of Airbnb). On the other hand, Airbnb has built a huge community of hosts and travelers who appreciate cultural exchange and the ethos that belongs at the core of Airbnb. The social license of the company to operate is now dependent on resolving local community issues. Community expectations include Airbnb, sharing the benefits (in taxes or community funds), and mitigating the nuisances (better guest vetting, help for neighbors). Social trends towards remote work and "living anywhere" are also an opportunity. Many workers are combining travel with work, driving up demand for longer Airbnb stays in smaller cities and rural areas. In sum, Airbnb is forced to make a response to social concerns about its footprint and capitalize on evolving travel lifestyles that are conducive to its home-sharing model.

- Technological:* Airbnb relies on technological innovation. The company is constantly updating its platforms of mobile applications, search engine algorithms, payment systems, and chats. Recent focus is on AI and personalization. Trailsus mentioned in the Q3 2025 letter that the firm is adding certain AI-driven customer support and search behaviours. These technological breakthroughs are beneficial in improving customer experience and work efficiency. Technologically, Airbnb must ensure the privacy of user information. There is also the issue of cybersecurity. Additionally, technological innovations in the form of property management based on blockchain or competing services can interfere with the model in the long run. Platform extensions (Experiences, guided tours, etc.) depend on integration of technology; Airbnb's planned expansion into tours and activities by 2025 will mean using its app to offer seamless additional services during a stay. Furthermore, by having a mobile-based and cloud infrastructure, Airbnb has been able to scale at low marginal cost around the world - a major contributor to its high margins. However, technology also poses challenges: Airbnb needs to protect itself from data breaches and privacy issues, comply with technological regulations (such as the EU Digital Services Act imposing content and data management duties), and keep up with the competition in terms of feature innovation (Securities and Exchange Commission, 2022). Similar tech-decoupled approaches are adopted by rival platforms (Booking, Vrbo) and even hotel chains, and are needed continuously.
- Environmental:* Consumers and regulating forces are increasing the pressure to be green. Airbnb has developed the notion that houses are more environmentally friendly than hotels. The consumption of energy and water in Airbnb stays is vastly lower than the consumption in the same hotel stays, which means a reduction in energy consumption is the equivalent of powering 826,000 households (Nieuwland & van Melik, 2020). Airbnb emphasizes this during marketing efforts and has created programs such as the Office of Healthy Tourism to encourage sustainable tourism. On the other hand, the increase in the number of tourists for small trips and flights can raise the carbon footprint. Critics argue that the platform does not, in fact, reduce the effects of tourism, but it pushes the demand itself elsewhere. However, environmental CSR practices are an opportunity that comes with the trends of global sustainability at Airbnb. Airbnb can capitalize on this growing trend by advertising energy-efficient listings, tips, or incentives for hosts to install solar panels or to use low-flow appliances (which can save up to 32 percent of water use). On the corporate level, Airbnb's operations (offices, employee travel) are striving to be carbon neutral, and donations to climate causes have also been made (e.g., their \$10m

Superhost Relief Fund also went to building homes back in a greener way). Nevertheless, increased short-term rental activity in fragile environments (coastal areas, small islands) raises concerns over the overuse of resources and waste management. Some cities place limits on Airbnb in some areas for environmental purposes (e.g., to reduce strains on energy/water in tourist hotspots). Airbnb's strategy must therefore take account of environmental sustainability - both as a responsibility and as a feature that can be sold.

- *Legal:* Airbnb is subordinated politically in its locality. Airbnb must make sure listing hosts have a sense of local tenancy and hospitality laws. It is facing various lawsuits in different localities, by hotel associations or municipalities. Liability insurance (AirCover) and a global "Community Commitment" contract are a part of the compliance strategy. The changing legal definition of STR hosting (commercial vs residential) is a fundamental risk. Brexit and visa rules are not specific to Airbnb but have an indirect impact on international travel volumes. Airbnb says it has paid more than \$7 billion in tourism taxes worldwide as of 2023 - a sign that at least it is trying to operate within legal frameworks, but also an extra compliance task. There is legal scrutiny on the company regarding whether it should be considered a "broker" or "travel agency" in some countries, which may bring licensing requirements as well (Securities and Exchange Commission, 2022). Litigation is another aspect - Airbnb has been involved in litigation on issues such as illegal listings, injuries at rentals, or platform discrimination. The court rulings in these types of cases may establish legal precedents for its liability. An example of a significant legal issue is whether or not Airbnb can be held accountable for what hosts do or fail to do (joint liability). Thus far, Section 230 in the U.S. and those like it have provided legislation that affords online platforms some immunity for content provided by users, but the regulations are tightening (with the EU Digital Services Act, for example).

Internal Environment (SWOT)

- **Strengths:** Airbnb has a highly significant brand and a massive platform. It has more rooms than even several hotel chains combined (Nieuwland and Van Melik, 2020). The firm has a good network effect, with the number of reviews and high repeat customers in millions, which affirms credibility. Airbnb is profitable with solid margins financially, e.g., Q2 2025 adjusted EBITDA margin was around 34%. It also possesses good cash flow and high free cash flow to undertake growth investments. The loyalty of the user community is high (35% of the nights booked by repeat guests in 2019) (Airbnb, 2024). The firm has differentiation based on platform differences, including whole homes, personal rooms, unique stays, experiences, or services. Leadership based on Chesky is design-thinking and trusting, building an innovative culture. The CEO is very vocal in stating that he trusts affiliates and that flexibility is only effective when you trust those under your supervision. Airbnb's financial position is good, which is an internal strength allowing it to make strategic moves. The company has little debt and has a large cash reserve. Its balance sheet, as well as its cash flows profile, means it can fund growth initiatives internally and weather the shocks. As of Q3 2024, Airbnb's cash is substantially more than its debt, with its interest of 132x - much stronger than most of its peers. Such financial health comes to the notice of other stakeholders, investors: in fact, in spite of some stock volatility, the shares of Airbnb have appeared to outperform many

other travel industry peers, reflecting confidence in its fundamentals. The ability to raise capital if need be (Airbnb's market cap is large and its credit rating is favorable) is an additional source of strategic flexibility. In effect, Airbnb's profitability and balance sheet are now a source of strength, which can support its competitive position and strategic options (quite different from its pre-IPO years of heavy losses). Even taking account of fixed costs (e.g., R&D, marketing, and customer support), Airbnb has now managed to achieve powerful operating margins. In 2022 - the first profitable year in its history - Airbnb reported its net income margin of 22%. Its free cash flow generation is also good: \$3.4 billion FCF in 2022 (41% FCF margin) and continuing to increase in 2023. These high margins and cash flows provide strategic flexibility for Airbnb - it can invest in new things, weather economic downturns, and can even return cash to shareholders (Airbnb initiated stock buybacks of over \$3 billion in the last year). The asset-light model is also easy to scale into new markets without requiring heavy upfront investment, which is a crucial strength in the global expansion strategy.

- Weaknesses: Airbnb possesses a weak system of centralisation and cannot regulate the quality/safety of the listings, and has to depend on the actions of hosts. The unauthorized parties or exploration of property (mentioned indirectly in the Q4 2023 report on anti-party tech) can result in a tarnished image. Their hosts have sued them because of racial discrimination on the platform, which compelled them to invest in anti-bias tools. Business-wise, it is reliant on travel and hence, reliant on external shocks (pandemic, economic downturn). Take rate (the percentage charged by Airbnb) can be increased (right now it is around 13-14 percent), yet overpricing is a potential way of chasing away customers. The cost of high marketing and R&D required to stay competitive can strain margins in the case of slow growth. Furthermore, complex international compliance causes expenditures and derails pure innovation. Airbnb's revenue comes heavily from bookings in big city centers and vacation hotspots - the ones experiencing the most stringent regulations. This concentration is a weakness in regards to the risk exposure. For example, cities such as New York, London, Paris, Barcelona, and Los Angeles have been some of the biggest markets for Airbnb. Regulatory clampdowns or saturation in these cities can disproportionately affect the business of Airbnb. Although Airbnb has listings almost everywhere, the top 10 cities or tourist regions probably constitute a major portion of earnings. This concentration risk is recognized in the company's filings with the SEC, where the company points out that tougher restrictions in key markets could negatively impact results (Securities and Exchange Commission, 2022). Similarly, short-term leisure travel is heavily biased towards Airbnb's platform; long-term stays and business travel are a much later development. This historical emphasis means that Airbnb may be leaving some segments, such as corporate travel, where its competitors or hotels have a foothold, out of reach, and that Airbnb will be vulnerable to seasonal variations in demand (peak vacation seasons vs. off-peak). In short, a lack of diversification in use-cases and overdependence on certain geographies can be considered as internal weaknesses.
- Opportunities: Market expansion - The market has underserved areas and segments, which Airbnb can target. Q3 2025 letter states the plan to expand the model (e.g., Airbnb Services and new "Experiences") to Germany, Brazil, and Korea. Remote working has created possibilities for long-term stays. Airbnb Experiences (tours, activities) is small

but growing in the current trend. The luxury/Airbnb plus space and business travel are on growth verticals. In addition, further offerings might include acquisitions or partnerships (with, e.g., transportation or events companies). Conversion and engagement can be increased with the help of AI and VR tours' technological advancements. Turning a threat into an opportunity, Airbnb can proactively build partnerships with city governments to influence sensible regulations. Cities around the world are still struggling with how to deal with such short-term rentals; Airbnb stands to have a seat at the table where it can make proposals of a win/win solution. By making their data available and supporting implementation of fair rules (such as one host one home policies, or caps that balance tourism and housing need), Airbnb can ensure it is licensed to operate in the long term. Some cities have already collaborated with Airbnb on tax collection agreements (over \$1.9 billion in US taxes collected by Airbnb in 2022 alone) - expanding on that type of collaboration may help alleviate regulatory friction (Jin et al., 2024). Similarly, Airbnb can invest in community programs (such as affordable housing funds, neighborhood safety initiatives, or tourism management programs) in areas of high impact. Doing so would boost the public perception and help illustrate that Airbnb can be part of the housing solution, not just the problem. In essence, by moving from a reactive approach to a partnership attitude towards regulators and communities, Airbnb can help foster an environment more welcoming to sustainable growth. This is an opportunity in the face of growing pressure on the technology industry as a whole to be more socially responsible; companies that get ahead of regulation by self-regulating or contributing something positive to society could have a competitive advantage. Additionally, automation in operations (from automating onboarding of new hosts with automated tutorials to smartlocks/IoT for check-ins) can reduce friction and costs. Embracing emerging technology, such as virtual reality, would even make it possible to preview listings for guests. In sum, technology is not only an external factor but also an internal opportunity: Airbnb can further streamline its operations, personalize user experiences, and strengthen security with advanced technology - all of which will result in a stronger competitive moat and improved unit economics.

- **Threats:** The greatest threats are from regulation and competition. Aggressive STR rules (e.g., short-stay bans in cities such as New York) could reduce addressable markets. Hotel chains such as Marriott are beginning to include apartment-style stays and are undermining the uniqueness of Airbnb. Competitors such as Vrbo, Booking.com, and local STR platforms are ramping up the competition, especially in Asia, where Airbnb is attempting to gain share. Problems with perception in the housing crisis and neighborhood conflicts are causing consumers to react. Finally, macro threats such as new pandemics or climate disasters that affect travel patterns could have a detrimental impact on demand. Negative incidents or stories in the media may compromise its brand, threatening Airbnb. High-profile incidents where security is at stake (crimes at an Airbnb stay or trashed homes by guests, for example) make headlines occasionally and are enough to dissuade users. If a story gains traction that "Airbnb is not safe" or "Airbnb is killing cities," then trust and use may experience a decline. For instance, previous issues of discrimination (#AirbnbWhileBlack) did place pressure on Airbnb to demonstrate that its platform is inclusive (Airbnb, 2022). Similarly, during the pandemic, there was public criticism of short-term rentals continuing to operate in vacation towns with the potential to spread the virus. These sorts of issues of perception call for sensitive matters of PR and

policies. A related threat is the backlash from local residents - if too many communities turn hostile to Airbnb (not just regulators but the general public), that could manifest itself in stricter rules, boycotts, or at minimum, loss of the goodwill that tech companies often rely on to operate. Airbnb constantly has to ensure the protection of its brand by ensuring quality and safety, and making positive contributions, or face long-term damage to its user base from reputational damage. Finally, larger external shocks are a threat as well. The travel industry is highly vulnerable to macroeconomic shocks, pandemics, natural disasters, or geopolitical events (conflict, terrorism), which disrupt travel patterns. Airbnb deeply felt this in 2020 with the coronavirus, where its bookings and revenue declined drastically, and it had to lay off staff members and raise emergency financing. While it recovered strongly, it highlighted that an abrupt decrease in worldwide travel is an existential threat. Future pandemics or worldwide recessions could once again reduce the amount of money we spend on discretionary travel. Climate change can also pose threats: with more frequent occurrences of extreme weather events, it can impact tourist destinations, and there is a chance of future carbon regulations or flying limitations that reduce long-haul travel. Airbnb's geographically diversified platform gives some level of resilience (travel might shift rather than stop), but it's not immune.

Financial and Operational Performance

The financial history of Airbnb played out in the last several years shows the power of this company. Following the trough in 2020, revenue got strong in 2021 (5.992B), 2022 (8.399B), and 2023 (approximately 9.9B), with a strong rebound (see Figure 1). The quarterly performance was also favorable: in 2025 Q2, the revenue was 3.1B (an increase of 13 percent annually), and in 2025 Q3, the revenue was 4.1B (an increase of 10 percent annually). There is also an increased profitability. Considering the case of Q2 2025 net income of 642M (21% margin), which was higher than 555M of the previous year, and net Adjusted EBITDA of 1.0B, Q2 2025. The Adjusted EBITDA at Q3 2025 was \$2.1B (50% margin) (Airbnb, 2025). Airbnb also reported a record net income of \$1.893B in the whole year 2023, and thus its net income margin (which is approximately 19) was earned with a net income margin of about twice what it had been in 2022.

Operationally, nights and experience booked are the key metrics to Airbnb. These volumes have increased steadily: Q3 2025 nights booked: 133.6M (+9% YoY) with increases in both domestic and international travel. Active listings are still on the upswing: As of the end of 2023, there were approximately 7.7M active listings (+18% YoY). The take rate of the platform (revenue/GBV) has also ticked up slightly (approximately 13.2% in Q2 2025 vs 13.0% a year prior), helping revenue to grow faster than the number of bookings.

Airbnb is performing well in its Balance Sheet and Cash Flow. By the end of mid-2025, the company possessed a total of about 11.4B in both cash equivalents and equivalents, and also possessed about 11.1B in guest funds. The ten-twelve months free cash flow trailed 4.3B (37% margin). A high cash flow rate has driven a massive share-repurchase scheme without impacting growth investments.

Risks to the financial prospects of Airbnb include a possible downturn in its growth due to the potential reduction in travel demand or a reduction in the supply of hosts as a result of regulation.

The post-pandemic occupancy rate normalization is one of the recent trends to be observed. During 2024, Airbnb had an estimated 50 percent occupancy (this was the highest since supply rose, and travel patterns returned to normal). Revenue growth can be held in case of loss of occupancy or loss of ADR, unless counterbalanced by adding additional listings or fees. Other concerns are over cost pressure. In Q3 2024, Airbnb's operating margin fell to 41% of its previous level of 44% because sales and marketing costs increased 28% (because Airbnb has been investing in expansion markets and performance marketing) (Airbnb, 2023). This implies that Airbnb might need to make a larger expenditure on the marketing of hosts and guests in the competitive setting, which can strain profit margins. Nevertheless, the growth in the future is also linked to these investments - the management mentioned that marketing contributed to the increase in bookings in the underpenetrated areas. As of 2025, Airbnb has set a direction of 34.5%+ in terms of Adjusted EBITDA margin. Airbnb believes that it will be driven to profitability even as it expands. In investor terms, to keep on making a >30% EBITDA margin and still record 10%+ growth would be a worthwhile compromise.

Occupancy on Airbnb remained at about 50% across the country in 2024 (down from peaks, given an increase in supply and a return to normal travel patterns). If occupancy or ADR fall, growth of revenue could be stalled unless compensated for by introducing more listings or new fees. There's also some concern around cost pressures - although in Q3 2024, Airbnb's operating margin dipped to 41% from 44% prior year due to an increase in sales and marketing expense of 28% (due to Airbnb investing in expansion markets and performance marketing). This could mean that Airbnb has to spend more to gain access to hosts and guests in a competitive environment, which could be a margin squeeze. However, these investments are also important for future growth - management said that marketing has helped to boost bookings in under-penetrated regions. For the year 2025, Airbnb guided to an Adjusted EBITDA margin of at least 34.5%, which indicates an expectation of continued profitability despite growth initiatives. From an investor perspective, >30% EBITDA margins while continuing to grow at ~10%+ would be a good balance.

In general, the financials of Airbnb indicate good growth and effective performance. The figures mentioned above highlight a relative speeding up of the revenues with high margins amid changing business endeavors. This financial capacity gives resources to fund strategic projects, and a high standard that Airbnb will invest further in the company and community (Beauchamp, 2025).

Ethical Considerations

The growth strategy of Airbnb should be ethical to its stakeholders. Among the important ethical concerns of Airbnb are the effects of the business on a community, discrimination, and sustainability. Empirical studies indicate that there is a general feeling that the local community tends to have negative externalities of STRs, such as unavailability of housing and a disturbance of the neighborhood (Nieuwland & Van Melik, 2020). Although a study of Airbnb and other studies indicate that the evolutionary housing effect is low in most markets, unfairness against the perception remains (Recio, 2024). In terms of ethics, Airbnb needs to find a compromise between the chances of hosts making money and the needs of locals to have housing. The company has reacted by spending on cheap housing initiatives in certain cities and endorsing regulatory guidelines. As one example, a report released by Airbnb provides that Airbnb whole-home listings that stayed over more than 90 nights make up less than 0.5% of the 1.2M housing

units in San Diego, which would not have a significant effect. Airbnb must still acknowledge the housing concerns of communities. The company is keen to highlight the economic benefits that the company brings (tourism spending in local businesses, hosts earning income) and that strict caps on rentals haven't always improved affordability - for example, a 60-day annual cap in Byron Bay didn't drive up long-term rentals or decrease rents after one year. This seems to suggest the issue is complex. Nonetheless, ethically, Airbnb has seen a responsibility to work together to find solutions. It has funded efforts such as affordable housing funds in certain cities (e.g., as part of a regulatory compromise, it contributes to a community housing project in Seattle). The ethical principle of stakeholder theory tells Airbnb to not only look at shareholders, but it should also look at the residents and cities that are affected. Proactively working with cities to deal with negative externalities (through caps, zoning, or revenue-sharing) is part of ethical platform stewardship. There is also an ethical argument for being transparent - the sharing of data from Airbnb with researchers and policymakers to honestly assess impacts. To its credit, Airbnb has started doing this through city portals and data-sharing agreements in cities such as Boston and Los Angeles, though critics say that it still can be more forthcoming at a global scale.

Non-discrimination and inclusion are another area of ethics. Just like it is with social norms and legal obligations, the policies at Airbnb expressly prohibit discrimination by hosts based on race, religion, etc. The platform gathers information to be capable of quantifying prejudice (Project Lighthouse) and releases regular progress reports. This is evident in the broader corporate responsibility to offer equal access. Internal reports focus on diversity both within employment and zero tolerance for harassment. Nonetheless, there have been cases of racial bias on the platform, making it necessary to be on high alert at all times as well as foster an ethical culture. The findings, which were shared recently, revealed some progress but lingering gaps - for instance, guests who are perceived as Black have a booking success rate of 91.4% compared with 94.1% for perceived white guests. Airbnb has introduced changes such as downtoning information about profile photos and ensuring hosts agree to a commitment to the community against bias. It also had partnerships with civil rights groups and even had the former attorney general Eric Holder advise on its policies. These efforts reflect Airbnb's moral commitment to inclusion; it's held up as an example in the tech industry of being transparent about addressing issues of bias. However, getting millions of hosts to do that is an ongoing ethical challenge - one that requires constant education and enforcement (banning hosts who discriminate, for example) and likely additional tweaks in platform design (such as Instant Book to mitigate the opportunity for bias). Inclusion is not just race: Airbnb is also responsible for protecting itself from discrimination based on gender, sexual orientation (Airbnb has partnered with LGBTQ groups to help it do this), disability (the platform now has accessibility filters and a team to ensure accessibility features on the platform), etc.

Trust and privacy of data are, therefore, also significant. Airbnb does not sell personal information, and its report on data disclosure requests by the authorities. Morally, Airbnb would have to implement the AI features responsibly. The Q3 2025 letter notices AI in aiding thought that assures efficiency, yet it requires maintaining the data of the individuals and making users free of algorithmic discrimination. Airbnb's declarations state that there is a commitment to privacy principles. This is one of a broader technological ethics perspective to developing tech-related practices that enable users to have a transparent overview of their information and have control. The company's transparency reports and privacy policies suggest it aims to keep data sharing in check to only lawful requests and attempt to ensure user data is secure. One notable

ethics situation was during the times of COVID-19: Airbnb was faced with an immediate ethics dilemma with hosts and guests as cancellations spiked. Initially, Airbnb overrode the policies of hosts who cancelled when the pandemic moved in and cancelled guests - in an effort to prioritize guest safety and financial fairness, but angered hosts who lost income. Later, Airbnb set up a \$250M fund to compensate or at least defray the expenses of hosts for those cancellations, essentially trying to share the burden. This episode brought out the challenge of making ethical choices when the interests of various stakeholders diverge. Moving forward, the ethics for Airbnb are overt communication, consistency, and empathy in making such decisions, as well as stakeholder engagement in policy-making (Airbnb established a Host Advisory Board to give hosts a greater voice).

The other significant ethical challenge is to make sure that there is equity and non-discrimination within the Airbnb platform. And since Airbnb is a person-to-person service (hosts accept guests), this made it susceptible to potential biases - some hosts have also been discovered to decline people merely based on race, ethnicity, or other unprofessional grounds. This new attention was the hashtag, #AirbnbWhileBlack, where it was discovered that guests with names that sounded African American were more likely to be rejected. The management of Airbnb publicly admitted that it was the biggest challenge that the company has ever encountered (Brian Chesky in 2016). Morally, Airbnb should ensure that they make it as equal as possible and equalize everyone. The company has also conducted an all-reliance audit on the civil rights issues in 2016 and adopted a new policy on the nondiscrimination issues, and in 2020, it launched Project Lighthouse in collaboration with Color of Change to quantify and mitigate the discrimination on the platform. The findings were inconsistent yet continuing, as far as perceived black guests receive a 91.4 percent booking success rate versus 94.1 percent perceived white guests; the findings were discovered and reported only recently. Certain changes are presented by Airbnb, like the reduction in the profile photo prominence, and tolerance of a host agreement with a community commitment to anti-bias. It also allied with civil rights organizations and even had former Attorney General Eric Holder offer advice to it with regard to its policies. These attempts are a testament to the ethical inclusion claim that Airbnb has undertaken; it has been praised as an example of the newest tech sector of how to be transparent about the issue of bias. Ensuring that millions of hosts do the same is an ongoing moral dilemma; however, it requires constant education, implementation (e.g., the outlawing of discriminatory hosts), and possible additional interface design (e.g., Instant Book so that the possibility of bias can be minimized). Being non-discriminatory cannot be reduced to race, because Airbnb must also be mindful of gender, sexual orientation (the company has collaborated with the group to combat gay, lesbian, bisexual, and transgender), disability (the site has already introduced accessibility options and a service to verify such considerations), etc. These initiatives are lost to the principle of justice and fair opportunity ethically. The spirit of belonging anywhere propagated by Airbnb is impossible to achieve when particular groups of people do not feel welcome or safe consistently.

Lastly, there is the contact between environmental ethics and the Airbnb platform. The firm sells sustainable traveling and green hosting. The hosts, for instance, 88 percent of them state that they use green practices (recycling, solar, public transit). It has been analyzed that Airbnb stays consume less energy and result in less greenhouse gas emissions compared to hotels. Airbnb can use the Office of Healthy Tourism initiative to advance sustainable tourism. To the extent that they are promotional, they also fall within the ethical imperative of reducing the effect of tourism

on the carbon footprint. Further enhancing sustainable activities, such as promoting carbon offset, green buildings, and listings, etc., will reinforce the Airbnb profile.

Overall, Airbnb is addressing ethical issues at a few levels: fair community interactions, anti-discrimination, privacy, and sustainability. The explicit commitment of the company (policies and projects) assists in curbing ethical risks. However, the leadership focus, clear reporting, and communication with the stakeholders are still required to ensure further alignment of ethical practices with the evolving norms.

Leadership and Collaboration

The implementation of a strategy by Airbnb is based on the issue of leadership and collaboration. CEO Brian Chesky is known as a design-focused visionary leader. He has made a culture of trust and innovation infamous - according to his 2022 letter to staff, he says, "I trust you, and flexibility only works when you trust the people on your team. This culture of trust goes as far as business projects: e.g., Chesky even had an entire policy to recruit at international ranks and to develop multi-talents - The remote work "live and work anywhere" policy. This kind of leadership has ensured that Airbnb has recovered faster than would have been the case during the pandemic, and has fostered a feeling of empowerment and responsible employees. The company values that Chesky also supports the element of ethical conduct and customer service (we are all hosts at Airbnb). At the board level, Airbnb has heterogeneous executives responsible for strategy. The company has a fairly flat organizational structure with tech -product teams with a lot of autonomy, and functional teams (legal, safety) that ensure that the company is in compliance. The idea of cross-functional collaboration is manifested in the reason that Airbnb can introduce hundreds of new features (more than 200 upgrades last year).

Most importantly, the leaders of Airbnb collaborate extensively with external stakeholders. The company emphasizes that it has a relationship of partnership with governments: they mainly point out that they have contributed to the creation of over >1,000 short-term rental regulations across major cities. Airbnb created the City Portal (early 2020) to enable municipal partners to use the data and compliance tools, which is a one-stop. It is a formalization of the collaboration and an indication that the relationship of Airbnb with the regulators is not an antagonistic one, but rather seeks to work with them to develop a policy that strikes a balance between the interests of hosts and the norms of the broader society. At the local government, Airbnb works with neighborhood associations and tourism boards - e.g., funding tourism promotion, housing supply initiatives, in order to give back to local communities.

The partnerships of Airbnb extend to the non-profits and industry counterparts as well. As an illustration, it partnered with the anti-trafficking organization, Polaris, and other refugee-resettlement companies via Airbnb.org (Open Homes program), which is a subset of corporate social responsibility. Regarding internal collaboration, cross-departmental collaboration occurs within the integration of safety and product development at Airbnb. Through these alliances, it is possible to trust Airbnb, and the company can go forward sustainably.

Managing employees on a global scale (thousands of them) and indirectly millions of people (host community) also demands some degree of cultural intelligence (Bei and Celata, 2023). All over the world, Airbnb has offices and workers; thus, leadership must learn to adjust to various communication forms and conventions. The company invested in diversity and inclusion training as it understood that the Silicon Valley approach of one size fits all would not work. As an

illustration, in both Asia, leaders of Airbnb needed to understand the local traveling traditions and expectations of the governments themselves, but in China (before Airbnb exited the domestic market in 2022), the leaders had to cooperate with the local business partners and even customize the product (rebranded as Aibiying) to local culture. Multiculturalism is an element of Airbnb culture, too - the company has internal employee resource departments and acts as a supporter of employees traveling and working in other offices, which fosters a feeling of togetherness among the staff in place all over the world. Technology has also made it easier to increase the successful cooperation of remote teams (Airbnb, as many others, is using Slack, Zoom, and other programs to organize virtual meetings) and to organize regular meetings (Airbnb has had global host conferences and team summits to bring people together). After the pandemic, Airbnb was made fully remote to its employees, allowing the staff to move and work in over 170 countries and spend as many as 90 days there in a year. Such a policy, in spite of its being logistically challenging, proves the determination of the leadership to walk the talk (enable distributed living). It required good interworking skills and faith in workers to make sure that all the efforts of employees are productive across time zones.

The business of Airbnb consists of collaborating with hosts and guests who represent vastly different cultures. Among others, creating a globally consistent, but locally sensitive platform and policies is one of the challenges. The only way leadership managed to learn was by mistakes - quite soon, Airbnb encountered criticism in certain cities where it had rolled out its services without consulting the locals (such as in Barcelona, a failure to engage early in the process made people hostile). To make the operation run smoothly, Airbnb tends to collaborate with the local tourism boards or the host clubs. One such cross-cultural work is that of Airbnb in Japan: in 2018, Japan introduced a new law that noted that home-sharing was to be registered (the Minpaku law), and Airbnb management worked with it to ensure that unregistered listings would be removed immediately and that they would offer assistance to home-share hosts with registration. It was a painful procedure in the short term (many listings have been removed), but with such a collaborative approach, the company Airbnb became a compliant one and was able to continue its growth in Japan. Equally in all other markets like India or Latin America, Airbnb has been forced to change some of its ways of doing things - including providing an alternative form of payment, as well as adjusting those whose marketing images permit in-country hopes of traveling as well. Regional leadership teams organize these adaptations, but also have an understanding of the local environment and the global strategy of Airbnb. Language barriers and communication style may also be a challenge when collaborating. Airbnb's internal communications are mostly in English, but its stakeholders (like hosts) do not all speak English. Airbnb has addressed this by making customer support available with platform materials in several languages. Culturally, Western directness in feedback may well conflict with more indirect norms in other cultures; Airbnb trains its managers to be aware of such differences in order to be well-led. Time zone differences mean being flexible - global meetings rotate meeting times to be fair, and decisions are often decentralized to empower regional teams. The leadership principle of empowerment is crucial: Airbnb can't micromanage operations in 220 countries from HQ, so you hire local leaders (many country managers are local nationals) and empower them to make decisions within the framework of the company.

Being a digital native company, Airbnb has adopted virtual collaboration. This was especially tested with the Covid-19 pandemic, except that all employees were remote and were able to manage the company in crisis. According to reports, Airbnb's teams leaned on weekly all-hands

video calls with leadership, collaborative documents to move strategy in new directions, and cross-functional "task forces" that were spun up virtually to tackle urgent problems (like handling the flood of cancellations). The success in navigating that period - including orchestrating an IPO in late 2020 entirely via remote collaboration - demonstrated Airbnb's capability in this realm. Leadership saw no greater harm to productivity and, in many cases, saw productivity improve as a result of remote work, which is how Airbnb decided to allow its employees to work from anywhere. Of course, remote work can come with its challenges, such as the loss of company culture and spontaneous creativity. Airbnb deals with this by encouraging periodic in-person meetings of the team and making sure that new hires have a cultural onboarding process (sometimes flying new hires to San Francisco, for example, for a week if possible). They also consciously plan fun virtual events, as well as leverage their own product - employees can get discounts to stay at Airbnbs, which leadership encourages as a way to understand the user experience and bond with the mission.

Overall, the Airbnb leaders have created a culture of innovation and trust, and do not hesitate to adopt external partners. It is this concern with creative collaboration and stakeholder relationships that has allowed Chesky to develop responsibly. It will be necessary to continue accumulating these networks of collaborations, be it with governments on the question of regulation, local communities on the question of housing, or NGOs on the question of social issues, in order to realize ethical and long-term growth.

Strategic Recommendations

To deliver sustainable growth, Airbnb should have a multi-pronged strategy that will make good use of its strengths while solving external challenges. Three key recommendations are:

- **Market Expansion:** The firm should keep tapping the available market on Airbnb across geographical locations and segments that are underserved. The business has already made a great start: By the end of 2023, its host community reached 5 million and 7.7 million listings across the globe (see Figure 2). Nonetheless, Airbnb will be able to accelerate growth in emerging economies (e.g., Southeast Asia, Africa) where the penetration rates are comparatively low. Ongoing work since the third quarter of 2025, new services beyond the Enterprises segment should be increased by Airbnb. Just to name a few, Airbnb Services (marketplace of home improvement services) and redesigned Experiences have begun to pay off, as new users start showing up. Airbnb ought to propel on these lines, providing stays, experiences, and services that can be built into travel packages. One more sub-segment is the long-term rental unit: with the remote trend in mind, Airbnb can provide the remote professionals with subscription-like options. This diversifies revenue to ensure that it is not only nighttime occupancy. Recommendations should be more personal, and the upsell should be offered to new customers with the help of AI travel assistant technology (Gallagher, 2024). Of paramount importance, growth must be aided with the guidance of the host training in order to make sure that quality is upheld. Expansion should be guided by ethical aspects like the consideration of over-saturation of the market, which is a mistake that must be avoided because of wrong growth in the inner city. Simultaneously, increasing Airbnb's services increases customer value and revenue per user. The fact that the company has a plan to invest \$200 to 250 million in new ventures in the travel industry by 2025 underscores this direction. Offering more long-term rental options (stays of several months) would cater to remote workers,

students, or others looking for interim housing - a huge market traditionally served by classifieds or corporate housing firms. Airbnb can prove itself a trusted platform for this segment by guaranteeing lease-like protections and monthly payments. This addresses the issue of seasonality (longer stays can complete holes in the calendar) and some housing issues (people who stay longer put more into the local community than revolving tourists). Furthermore, growing Experiences and add-ons - for example, letting guests book local tours, airport pickups, grocery deliveries, or other services via Airbnb - can bring in additional fee revenue in addition to deepening engagement. It makes Airbnb more like a holistic travel platform (like a lifestyle brand), which investors like for the growth potential. Rival Booking.com also has this "one-stop-shop" model; Airbnb will have to step up to keep users. Offering experiences also differentiates Airbnb from pure rental competitors, as it uses the community vibe.

- Regulatory Partnerships:* Build a proactive relationship with regulators and policymakers in order to enjoy a friendly atmosphere towards Airbnb. Rather than establishing a legal struggle where one firm attempts to level the other, Airbnb can be regarded as a partner in the strategy of establishing common-sense standards for short-term rentals. This also involves transparent information emission (with its City Portal), joint-funding housing and infrastructure initiative in visitor locations, and fair agreement of occupancy thresholds. The experience that Airbnb has with regard to aiding the development of 1,000+ STR frameworks will assist in the aspect of credibility. It is recommended to expand that model by having regulatory liaisons in every large city where Airbnb holds market share. Relations can be opened with work on the tax sharing and safety standards with the officials. As an illustration, Airbnb can commit to giving part of its commission to affordable housing funds in crisis cities, to push the business forward with the social good in mind. This policy entrepreneurship will reduce the threats of the law. Integrating compliance checks into Airbnb's platform is very important for credibility. Already, some jurisdictions require cooperation between platforms, for instance, confirmation of registration numbers (the EU's proposed regulation will require this). Airbnb needs to get ahead and build the infrastructure now. For example, when the system is attempting to list a new host in City Y, you should prompt the user to add the city permit number (or maybe hook into the verification API from the city). If a city has a 90-night annual limit, Airbnb's calendar could automatically block beyond that for that listing - meaning that no unlawful bookings can occur via Airbnb. While this may limit inventory to some extent, it protects Airbnb from fines and allows the company to build trust with the regulators. Indeed, Airbnb has started introducing measures to do that in places such as London (automatically implementing a 90-day limit) and Santa Monica. The benefit of scaling this up globally would demonstrate that Airbnb can be the responsible adult in the room and thus sway regulators in its favour, or at least not want to ban it outright. It also reduces the need for illegal "black market" STRs, which host for the host to comply or not list at all - leveling the playing field as hotels often insist.
- Community Initiatives:* Investing and responsibility in the community. Emphasizing the positive impact on the environment and justifying it are ethical for Airbnb. The other community aspect is education. Airbnb could offer learning courses to hosts in such fields as hospitality quality, cultural sensitivity, local history, and short-term rentals could become a source of cross-cultural interaction. These social programs should be coupled

with profitability (e.g., branded experiences that can assist local artisans) so that the social programs become sustainable. Such initiatives should also be reported transparently to create more trust in the stakeholders (Gallagher, 2024). On sustainability, the ethos and the economics are obvious. Travelers want to go green as Friendly Initiative is pursuing sustainability. According to Expedia's research, more travellers filter for sustainable (staysmashvisor.com) staycation experiences. Airbnb can start leading from the front: add a "sustainable home" badge for listings that meet certain criteria (e.g., >50% renewable energy, no single-use plastics, etc). It could even partner up with certification bodies to audit and certify some of the listings, as mentioned with MDPI research showing green upgrades paying a pricing premium, which means hosts have an incentive too. Promoting energy efficiency is especially appropriate as many Airbnbs are homes that could be turned greener - Airbnb could support bulk discounts for hosts to install smart thermostats or solar panels, in line with findings that such improvements increase property value and net income for hosts (Mashvisor, 2025). For Airbnb's own operations, pledging to science-based climate targets (like 100% renewable electricity for offices, carbon offsets for corporate travel, etc) will strengthen its brand among conscious consumers and investors (ESG investing is significant nowadays).

Every strategic thrust should be ethically implemented with a sense of responsibility. As an example, since Airbnb has been recruiting more and more markets, it needs to continue vetting and training hosts to avoid discrimination (utilizing its tools against anti-bias). An increasing number of nights booked should be set against the impact on the neighbourhood. This should involve changing policies where concerns arise (e.g., noise, overcrowding). Airbnb can become profitable and purposeful simultaneously by adopting both strategies and being growth-driven and community-driven at the same time.

Conclusion

The history of Airbnb as a startup to a globally recognizable platform can provide certain lessons that are pretty self-evident, such as the strength of innovation and network effects to exponentially grow, as well as the fact that one should listen to the societal and ethical consequences in order to become a successful, sustainable enterprise. We find that Airbnb has a sound business model that is stable and well placed in an expanding travel economy. On the financial aspect, the firm has capitalized on repressed demand, registering massive revenue and profit growth and functioning on good margins. The tools to exploit new opportunities (e.g., services, long-term stays) are its internal strengths (brand, tech platform, cash reserves).

With this development, however, large risks and responsibilities are involved. Certain concerns related to housing affordability in communities and regulatory constraints are problems that one cannot overlook (Nieuwland & Van Melik, 2020). At this point, Airbnb will have to keep working with governments in a collaborative manner and seek to achieve trust by establishing ethical leadership and policies. The management of the company in the areas of diversity, safety, and sustainability is seen as a symptom of a recognition of its broader purpose.

Implementing these strategies will require strong leadership and cross-functional collaboration. Airbnb's leaders will need to lead the charge in negotiations with policymakers and mobilize their global team to implement new efforts, in addition to continuing their work of fostering a culture of integrity, inclusion, and innovation. The plan brings together the program outcomes of the MBA through multi-disciplinary knowledge of finance, marketing, operations, ethics, and

leadership into a coherent strategy. For example, we were able to apply critical analysis of the financial data to make sure the recommendations were based on economics (Outcome 3), consider ethical frameworks to tackle dilemmas (Outcome 6), consider global collaboration dynamics to implement the strategy (Outcome 5), and ensure the communication of the strategy is clear and professional (Outcome 7).

By following this plan, Airbnb is able to pursue a balanced growth that meets the needs of the investors who invest in the company while also addressing the concerns of the cities and the people. This balance is what sustainable business is about in the platform economy: growing with stakeholders, and not against them. Airbnb's founding vision was about creating that sense of belonging anywhere, and scaling that vision into the future means all stakeholders - hosts, guests, neighbors, and regulators - feel they belong in Airbnb's community and success. The recommendations, ranging from fair regulations to community funds, are intended to do just that.

Overall, the proposed approach to Airbnb is that of sustainable development: entering new markets and products, but together with its stakeholders and with moral protection. Approaching its innovative platform to the community and community well-being can help Airbnb locate a solution that will satisfy both investors and the cities. The success in the future, therefore, will depend on the effectiveness of balancing the aggressive growth and the activities on the regulatory and social issues.

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Appendices

Appendix I: Growth, Airbnb Revenue, and Net Income

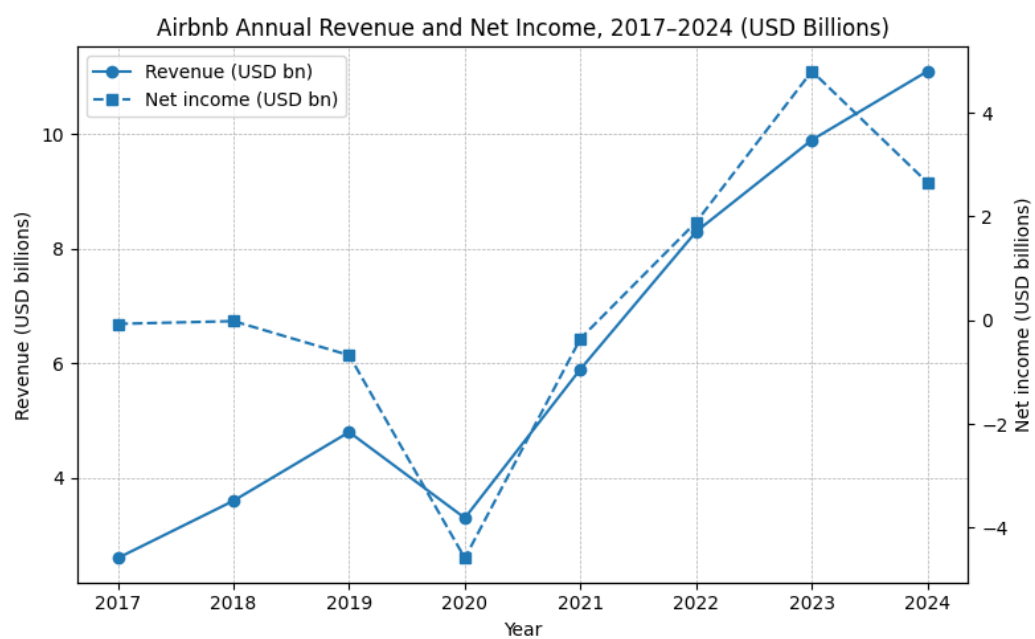


Figure 1: 2017-2024 Airbnb Annual Revenue and Net Income

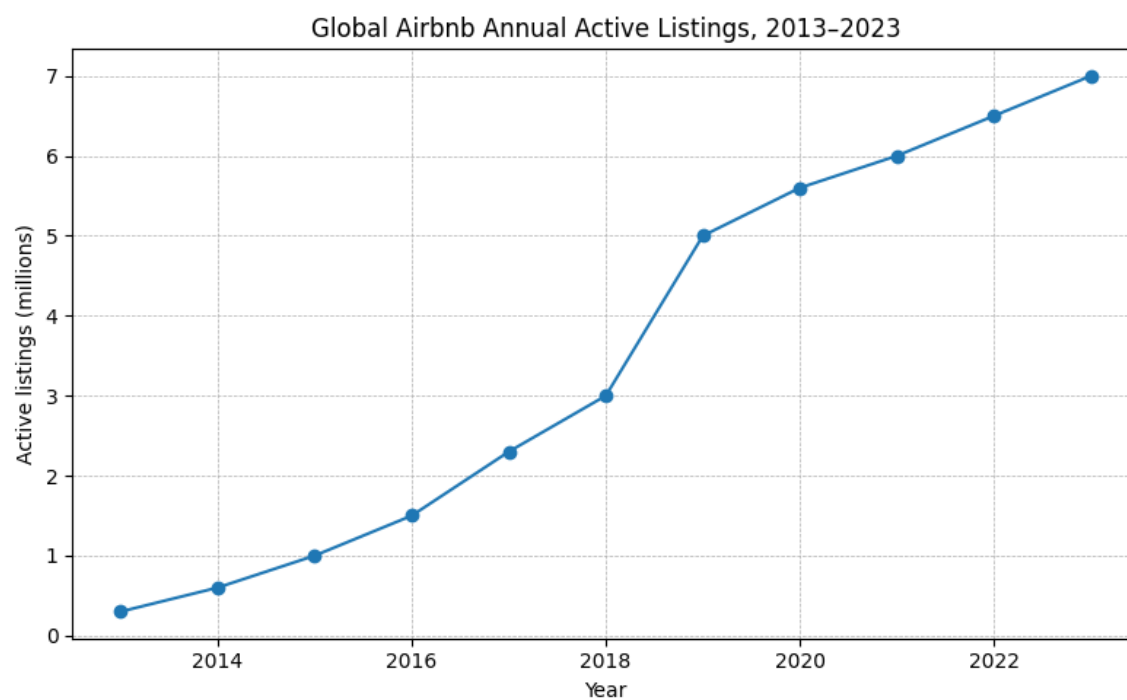


Figure 2: Global Airbnb annual active listings